RBI Stimulus Measures

Though quite late compared to many other central banks in advanced countries and eastern Asia, RBI was off the block solidly in the last week of March to announce a slew of liquidity measures which, as claimed by the finance minister later in her presentations in May, added up to Rs 8.1 trillion.

These liquidity measures were aimed at encouraging, in fact egging on, the banks to lend to businesses and buy corporate bonds. However, RBI did not take into account the massive credit risk averseness prevalent in the Indian banking system and the absolute inability of businesses to take any credit during the lockdown. Thus, the liquidity bazooka proved a damp squib in the first half of the financial year. The liquidity absorbed by RBI during the year 2020–21 averaged over Rs 6 lakh crore.

Credit growth remained subdued for long. In July, it fell year on year below 6 per cent. Compared to the stock of banking credit at the end of financial year 2019–20, there was a decline in the stock of credit at the end of July 2020. Credit growth refused to budge higher throughout the year. Even in November 2020, credit growth was less than 6 per cent whereas deposit growth was in excess of 11 per cent. India ended the financial year with credit growth of just above 6 per cent.

Government Measures Provided Minuscule Stimulus

The government came up with its own set of liquidity measures totalling Rs 4.45 lakh crore. These measures largely included expansion of credit by government-owned institutions to farmers and provision of loans from Central government-owned financial institutions in the power sector for the clearance of bills by the state power utilities.

Rs 90,000 credit was to be provided by the Power Finance Corporation (PFC) and Rural Electricity Corporation (REC) to bankrupt state electricity